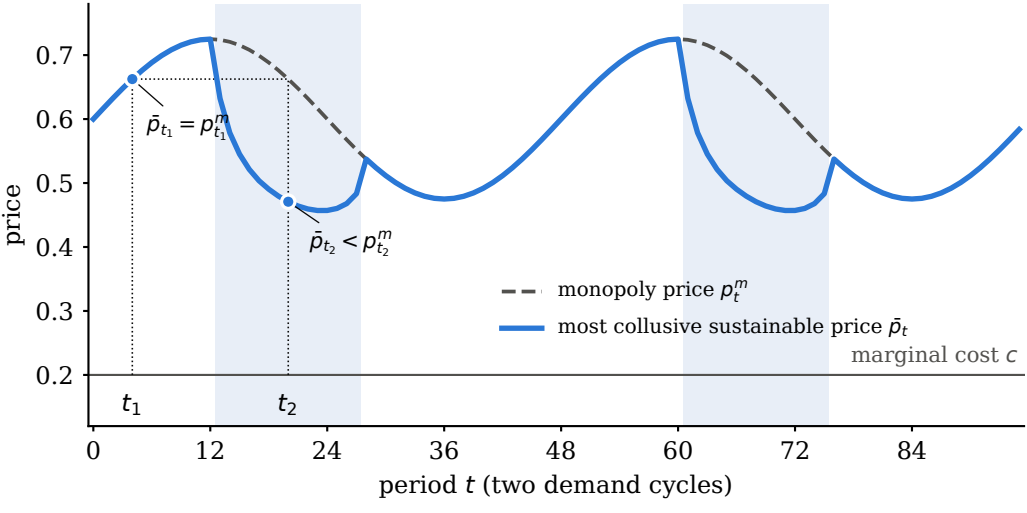
price
0.7
0.6
0.5
0.4
0.3
0.2
$\tilde{p}_{t_1} = p^m_{t_1}$
$\tilde{p}_{t_2} < p^m_{t_2}$
monopoly price p^m_t
most collusive sustainable price $\tilde{p}_t$
marginal cost c
t_1
t_2
0
12
24
36
48
60
72
84
period t (two demand cycles)